

New Account Onboarding Pack — Meridian Industrial Supply Inc.

Meridian Industrial Supply Inc.

Credit and Accounts Department

5400 Commerce Center Boulevard, Suite 800, Dallas, TX 75207

To the Applicant,

Thank you for your interest in opening a trade account with Meridian Industrial Supply. This pack contains everything our Credit and Accounts Department will refer to when your application is reviewed and your account is set up in our customer system: our credit policy, the onboarding procedure and the documents we need, a guide to the application form with a worked specimen, the application form itself, the reference request forms, our terms and conditions of sale, the catalogue and service summary, our data protection notice, the dispute procedure, a glossary and our contact directory.

Please complete only the credit application in Section 4. Every other section is for reference. When the application is complete, return it with the documents listed in Section 2.3 to your account manager or to the Credit Department directly. A complete application is normally decided within five working days; trade references that do not respond are the commonest cause of delay.

Yours faithfully,

Rachel Oyelaran

Credit Manager

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Section 1. Credit Policy

Meridian Industrial Supply (the Company) sells on open account to business customers that meet the criteria in this policy. The policy exists to protect the Company against bad debt while allowing customers to trade on terms that suit their purchasing cycle. It is applied by the Credit and Accounts Department under the authority of the Chief Financial Officer and is reviewed annually.

1.1 Who may apply

Any business entity — corporation, limited liability company, partnership or sole proprietorship — that purchases goods for use in its own operations or for resale may apply for a trade account. Individuals purchasing for personal use, and entities that have been in operation for less than twelve months, are served on prepayment or card terms until a trading history is established. Public bodies and educational institutions are accepted on presentation of a purchase order and are not subject to the credit assessment in 1.3.

1.2 Account types

Account type	Who it is for	Typical terms
Prospect	A business that has applied but has not yet placed an order, or trades on prepayment while credit is assessed	Prepayment or card
Customer	A business that purchases for its own use and has an approved credit limit	Net 30
Reseller	A business that purchases for resale, registered with a resale certificate	Net 30, volume pricing tier
Partner	A systems integrator or contractor with a framework agreement	Net 45, project pricing
Key account	A customer with annual purchases above the key-account threshold	Negotiated

1.3 Assessment

The credit assessment considers the information given on the application, the responses of the trade and bank references, the report of a commercial credit bureau, the public record for liens, judgements and bankruptcy filings, and, where the requested limit exceeds the threshold in 1.4, the applicant's most recent financial statements. The assessment produces a recommended credit limit and payment term, which are set within the delegated authorities in 1.5. The Company does not disclose the bureau score or the content of reference responses to the applicant; it will, on request, state the reason for a refusal in general terms.

1.4 Credit limits

1. An initial limit is set at the lower of the amount requested and the amount supported by the assessment. Limits are set in increments of five thousand dollars.
2. The limit applies to the total of unpaid invoices and open orders. An order that would take the account over its limit is held for review; the account manager may release it against an interim payment.
3. A limit above one hundred thousand dollars requires financial statements for the last two fiscal years, reviewed or audited by an independent accountant, and a limit above five hundred thousand dollars requires a personal or parent-company guarantee unless the applicant's net worth exceeds four times the limit.
4. Limits are reviewed at each anniversary and whenever the account's payment behaviour changes materially. A customer may request an increase at any time by submitting updated financial information.

- Expected monthly purchases stated on the application are used to size the limit and to plan stock; they are not a commitment by either party.

1.5 Delegated authorities

Post	May approve a limit up to	Term
Credit analyst	\$25,000	Net 30
Senior credit analyst	\$75,000	Net 30
Credit Manager	\$250,000	Net 30 or Net 45
Chief Financial Officer	\$1,000,000	Any
Board credit committee	Above \$1,000,000	Any

1.6 Payment terms

Standard terms are net thirty days from the invoice date. Invoices are issued on the date of shipment, or on the date of collection where the customer collects. A prompt-payment discount of one percent is offered on invoices paid within ten days where the account is in good standing. Payment is accepted by ACH transfer, wire, cheque or card; card payments above ten thousand dollars carry a surcharge of two and a half percent. Payment is applied to the oldest open invoice unless the remittance advice specifies otherwise.

1.7 Overdue accounts

- An account with an invoice more than ten days overdue receives a statement and reminder.
- At thirty days overdue, the account is placed on credit hold: new orders are accepted only against payment, and the account manager contacts the customer.
- At sixty days overdue, interest is charged at one and a half percent per month on the overdue balance, and the account is referred to the Credit Manager.
- At ninety days overdue, the account is referred to collection and the credit limit is withdrawn. Reinstatement requires settlement in full and a fresh application.
- Disputed invoices are excluded from the overdue calculation while the dispute is logged under Section 9 and being actively resolved.

1.8 Purchase orders

Where the applicant states that a purchase order is required, the Company will not ship without a purchase order number and will quote it on the invoice. Orders placed by telephone or e-mail without a purchase order are confirmed in writing before shipment. Blanket purchase orders are accepted for call-off against a framework.

1.9 Information and changes

The customer must notify the Company of any change in legal name, ownership, entity type, registered address, billing address or banking arrangements within thirty days, and of any petition in bankruptcy, assignment for the benefit of creditors, or appointment of a receiver immediately. Failure to notify a material change entitles the Company to suspend the account.

1.10 Withdrawal and closure

The Company may reduce or withdraw a credit limit at any time on written notice where the assessment no longer supports it. An account with no purchases for eighteen months is closed and must be reopened by a fresh application. Closure does not affect obligations already incurred.

1.11 Know-your-customer and sanctions screening

Before an account is opened, the Company verifies the applicant's legal existence against the register of the state of formation, confirms that the signatory has authority to bind the applicant, identifies the beneficial owners where the applicant is privately held, and screens the applicant, its principals and its beneficial owners against the sanctions lists maintained by the Office of Foreign Assets Control and against the denied-persons and entity lists of the Bureau of Industry and Security. Screening is repeated at each anniversary and whenever a change of ownership is notified. An applicant that appears on a list, or that is owned or controlled by a listed person, is declined, and the Company may be required by law not to disclose the reason.

1.12 Credit insurance

The Company insures its trade receivables. Accounts with limits above fifty thousand dollars are submitted to the insurer for an endorsed limit; where the insurer's limit is lower than the assessed limit, the lower figure applies unless the Chief Financial Officer accepts the uninsured portion in writing. The insurer's decision is not disclosed to the applicant, but an applicant whose limit is constrained by insurance may be invited to provide financial statements so that the insurer can reconsider.

1.13 Worked examples of limit sizing

Applicant profile	Requested	Supported by references and bureau	Financials	Limit set	Term
Five-year-old fabricator, three good references, bureau score in the top band	\$40,000	\$60,000	Not required	\$40,000	Net 30
Two-year-old contractor, two references (one slow), bureau score mid band	\$50,000	\$20,000	Not required	\$20,000	Net 30, review at 6 months
Established distributor, four good references, bureau top band	\$300,000	\$300,000	Two years reviewed; net worth \$2.1M	\$250,000	Net 30
New subsidiary of a listed group	\$150,000	No history	Parent guarantee supplied	\$150,000	Net 45
Start-up under twelve months	\$10,000	No history	Not available	Prepayment	Card or prepayment; reapply at 12 months

Examples are illustrative and do not relate to any applicant.

1.14 Guarantees

Where a personal or parent-company guarantee is required, the guarantor signs the Company's standard guarantee, which is a continuing guarantee of all amounts due from the customer, unlimited in amount unless a cap is agreed, and terminable on ninety days' written notice as to future obligations only. A personal guarantor is asked for a personal financial statement and consents to a consumer credit enquiry. The guarantee form is reproduced in Section 5.3.

1.15 Anti-corruption and gifts

The Company's employees may not offer or accept anything of value to obtain or retain business other than modest promotional items and reasonable hospitality recorded in the gifts register. Customers are asked to observe the same standard in their dealings with the Company's staff. A customer that offers an improper inducement to an employee of the Company will have its account closed. Concerns may be reported in confidence to the Company's ethics line, whose number is in the contact directory.

1.16 Payment behaviour scoring

Once an account is open, the Credit Department scores its payment behaviour monthly from the accounts receivable ledger. The score drives the annual limit review, the release of held orders, and the offer of longer terms or a higher pricing tier. It is an internal measure and is not reported to bureaus, although the underlying payment experience is.

Component	Measure	Weight	Scoring
Days beyond terms	Average days paid after due date, weighted by invoice value, last 6 months	40%	0 days = 40; each day beyond terms deducts 2 points to a floor of 0
Consistency	Standard deviation of days beyond terms	15%	Under 5 days = 15; 5–15 days = 8; over 15 days = 0
Disputes	Disputed invoices as a share of invoices issued	15%	Under 2% = 15; 2–5% = 8; over 5% = 0
Utilisation	Peak balance as a share of the limit	15%	Under 80% = 15; 80–100% = 8; held orders = 0
Returned payments	Any returned or reversed payment	15%	None = 15; one = 5; more = 0

Score band	Treatment
85–100	Eligible for limit increase on request without new financials up to double the current limit; Net 45 available; held orders released automatically
65–84	Standard treatment; limit review at anniversary
45–64	Limit frozen; held orders released by the Credit Manager; review in 6 months
Under 45	Limit reduced; new orders against payment until the score recovers for 3 consecutive months

Section 2. Onboarding Procedure

2.1 Steps and timing

Step	Who	What happens	Target
1	Applicant	Completes the credit application (Section 4) and gathers the documents in 2.3	—
2	Account manager	Checks the application for completeness and forwards it to Credit	1 working day
3	Credit analyst	Sends trade and bank reference requests (Section 5) and orders the bureau report	1 working day
4	References and bureau	Respond	3–5 working days
5	Credit analyst	Assesses and recommends a limit and term	1 working day
6	Approver	Approves within delegated authority	1 working day
7	Accounts	Creates the account record, sets the limit and term, issues the welcome letter	1 working day
8	Account manager	Confirms pricing tier and delivery arrangements with the customer	—

2.2 How the account record is created

The Accounts team creates the customer record in the customer system from the application form. The record carries the legal name exactly as registered, the account type, the industry classification, the website, the main telephone number, the annual revenue and employee count stated on the application, a one-line description of the business, and the billing address. Every field is taken from the application form; the team does not infer a value the form does not give, and a field the form leaves blank is left blank in the record until the applicant supplies it. Contacts and shipping addresses are added after the account exists.

2.3 Documents required

- The completed and signed credit application.
- Evidence of legal existence: certificate of incorporation or formation, or the assumed-name certificate for a sole proprietorship.
- Federal tax identification (W-9) and, for resellers, a resale certificate for each state in which goods will be delivered.
- Names and contact details of three trade references with whom the applicant has traded on credit for at least six months, and one bank reference.
- For a requested limit above one hundred thousand dollars, financial statements for the last two fiscal years.
- For a limit above five hundred thousand dollars, the guarantee described in Section 1.4.

2.4 Industry classifications used in the customer system

Classification	Typical customers
Aerospace and Defense	Airframe and component manufacturers, MRO providers
Automotive	Vehicle and parts manufacturers, tier suppliers
Chemicals and Plastics	Compounders, moulders, coatings producers
Construction	General and specialty contractors, precast producers
Electronics Manufacturing	Contract manufacturers, instrument and device makers, connector and cable producers
Energy and Utilities	Generation, transmission, water and gas utilities
Food and Beverage	Processors, bottlers, packaging lines
Industrial Machinery	Machine builders, pumps, compressors, material handling
Medical Devices	Device manufacturers and sterile processors
Metals and Mining	Foundries, mills, fabricators
Packaging and Distribution	Packaging converters, distributors, third-party logistics

Software	Software and IT service companies purchasing for facilities
Other	Any business not listed above

2.5 Pricing tiers

Tier	Qualification	Discount from list
List	Prospect accounts and accounts below \$25,000 annual purchases	0%
Silver	Customer accounts with \$25,000–\$100,000 annual purchases	5%
Gold	Customer accounts above \$100,000, and all Reseller accounts	10%
Platinum	Key accounts and Partners under a framework agreement	Negotiated, 12–18%

2.6 Sales territories and account management

Territory	Coverage	Regional Sales Manager
North Texas	Dallas–Fort Worth, Denton, Collin, Rockwall and Ellis counties	Marcus Bell
Central Texas	Austin, Waco, Killeen, Temple, Round Rock	Hannah Whitmore
Gulf Coast	Houston, Beaumont, Galveston, Victoria, Corpus Christi	Luis Herrera
South Texas	San Antonio, Laredo, McAllen, Brownsville	Sofia Delgado
East Texas and Louisiana	Tyler, Longview, Texarkana, Shreveport, Lake Charles	Owen Prescott
West Texas and New Mexico	Lubbock, Midland, Odessa, El Paso, Albuquerque	Kim Da-eun
Oklahoma and Arkansas	Oklahoma City, Tulsa, Fort Smith, Little Rock	Eleanor Vance

Each account is assigned to the account manager for the territory of its billing address. Accounts with shipping addresses in more than one territory are managed from the billing territory with a named secondary contact in each other territory. Key accounts are managed by the key-account team irrespective of territory.

2.7 Account set-up checklist used by the Accounts team

Check	Source	Done by
Legal name matches the certificate of formation	Certificate; application band 1	Accounts
Entity type and state of formation recorded	Certificate	Accounts
Tax ID matches the W-9	W-9; application band 1	Accounts
Resale certificate on file for each delivery state (resellers)	Certificates	Accounts
Industry classification is one of the system values	Application band 1; Section 2.4	Accounts
Billing address complete: street, city, state, ZIP, country	Application band 3	Accounts
Primary contact created with title, e-mail and phone	Application band 4	Accounts
Credit limit and term entered as approved	Approval record	Credit
Purchase-order-required flag set	Application band 2	Accounts
Pricing tier set	Section 2.5; account manager	Sales operations
Welcome letter issued	Template 7.1 of the sales handbook	Accounts

2.8 Electronic trading

Customers may order through the Company's web portal, by electronic data interchange, or through punch-out catalogues integrated with their procurement system. Portal access is granted to named users nominated by the primary contact; each user's orders are subject to the account's credit limit and purchase-order setting. EDI and punch-out integrations are set up by the sales operations team after the account is open and typically take two to four weeks to test.

2.9 Customer system field dictionary

The customer system holds one record per account. The dictionary below lists the fields captured at set-up, where each value comes from, and the format required. It is the reference used by the Accounts team and by the sales operations team when records are audited for completeness.

Field	Source	Format	Required at set-up
Account name	Application, band 1 — legal name	Text, as registered, with entity suffix	Yes
Trading name (DBA)	Application, band 1	Text	No
Account type	Approval record	One of: Prospect, Customer, Reseller, Partner, Key account	Yes
Entity type	Application, band 1	One of the five entity types	Yes
Industry	Application, band 1	One of the classifications in Section 2.4	Yes
Website	Application, band 1	Domain without protocol	No
Main phone	Application, band 1	(NNN) NNN-NNNN	Yes
Fax	Application, band 1	(NNN) NNN-NNNN	No
Year established	Application, band 1	Four digits	No
Employees	Application, band 1	Integer	No
Annual revenue	Application, band 1	Integer dollars, no separators	No
Tax ID	W-9	NN-NNNNNNNN	Yes
DUNS	Application, band 1	NN-NNN-NNNN	No
Description	Application, band 1	Free text, one or two sentences	No
Billing street	Application, band 3	Text including suite	Yes
Billing city	Application, band 3	Text	Yes
Billing state	Application, band 3	Two-letter code	Yes
Billing ZIP	Application, band 3	Five digits, optional plus-four	Yes
Billing country	Application, band 3	Three-letter code or name	Yes
Credit limit	Approval record	Integer dollars	Yes
Payment term	Approval record	One of the term codes	Yes
Purchase order required	Application, band 2	Yes / No	Yes
Pricing tier	Section 2.5	One of: List, Silver, Gold, Platinum	Yes
Account manager	Territory table, Section 2.6	Employee record	Yes
Primary contact	Application, band 4	Contact record: name, title, e-mail, phone	Yes

Supplement A -- Trade Compliance Manual for Account Holders

A.1 Purpose, Scope and Status of This Supplement

This Supplement sets out the trade compliance standards that apply to every holder of an account with the Company, in addition to the credit policy set out in Section 1 and the terms and conditions of sale set out in Section 6. It exists because a number of the instruments, hydraulic and pneumatic components and calibration services the Company supplies are capable of controlled or dual civilian and other use once combined with other equipment, and because the Company's own undertakings to its insurers, its bank and its principal suppliers require it to know that the businesses it invoices are not themselves a source of sanctions, bribery or product-compliance exposure. Nothing in this Supplement changes the payment terms or the credit limit recorded elsewhere in this pack; it is a standing condition attached to the account rather than a one-time declaration made at the point of application.

The Supplement binds the account holder named in Section 4, its officers and any employee authorised to place or receive orders against the account, and, where the account holder resells, integrates or redistributes goods obtained from the Company, every onward transaction in that chain that the account holder directs or controls. An account holder that purchases solely for its own use should read the sections on export licensing and on restricted-party screening as applying to any loan, transfer, disposal or export of the goods outside the ordinary course of using them on its own premises, rather than to the ordinary receipt and consumption of stock. An account holder that purchases for resale, whatever the commercial arrangement under which it does so, should read every section of this Supplement as applying to each sale it makes downstream, not only to its dealings with the Company.

This Supplement is reviewed by the Company's compliance function once a year and whenever a change in applicable law makes an interim revision necessary; the version in force is the one bound into the current onboarding pack, and a superseded version is not reissued to an existing account holder unless a change materially affects it. An account holder that cannot meet a requirement described below should raise the matter with its account manager before placing a further order rather than after a shipment has already been stopped; in the compliance function's experience, most of the delay described in the sections that follow arises from a requirement being addressed for the first time under the pressure of an urgent order.

In this Supplement, "goods" includes any product, part, tool, die, packaging component or documentation supplied by the Company, whether purchased, consigned or supplied for a service such as calibration or kitting; "account holder" includes an account held under any special commercial arrangement described elsewhere in this pack; and a reference to a section number without more is a reference to a section of this Supplement. Where this Supplement and another section of the pack address the same subject in different terms, for example Section 1.11 and Section A.3 below, the two are read together, and the more specific obligation applies to the more specific circumstance it describes.

This Supplement does not itself insure the Company against a loss caused by an account holder's breach, and the credit insurance described in Section 1.12 does not extend to a loss arising from a sanctions violation, a bribery finding, or a false compliance declaration; a loss of that kind is recovered from the account holder or its guarantor under the ordinary terms of sale rather than being treated as a bad debt for insurance purposes. An account holder should bear this distinction in mind when weighing the practical consequence of a compliance failure against what might otherwise be assumed to be an insured commercial risk.

A.2 Export Control Classification and Licensing Obligations

Certain products in the Company's range are classified for export control purposes because of their precision, their operating range or the industries in which they are typically deployed. Pressure and flow

instrumentation capable of fine calibration, cylinders and valves rated for high pressure service, and certain calibration reference standards can fall within a control classification even though they are sold domestically for ordinary industrial use. The Company classifies the products it manufactures and passes through the classification given by the original manufacturer for products it distributes; that classification, where one applies, is stated on the packing list and on the certificate of conformity issued with the shipment. An account holder that intends to export, re-export, tranship or otherwise send goods obtained from the Company outside the country of delivery is responsible for determining, independently of the Company's classification, whether a licence or other government authorisation is required for that onward movement.

A licence obligation can arise not only from the classification of the goods but from the destination, the end use or the identity of the end user. Movement toward an embargoed or comprehensively sanctioned destination, use in the development or production of nuclear, chemical or biological weapons or of missile delivery systems, and supply to a military end user or end use restricted by the applicable government are the most common triggers, and they can apply even to goods that carry no control classification of their own. An account holder that becomes aware, or has reason to believe, that goods purchased from the Company are intended for any of these uses must not complete the transaction and must notify the Company's compliance function immediately; continuing with an order after such knowledge arises is treated as a breach of this Supplement independently of any breach of the applicable export law.

1. Development, production, stockpiling or use of nuclear, chemical or biological weapons, or of the means to deliver them.
2. Support of a military end user or military end use in a destination subject to a military end-use or end-user control.
3. Resale or transfer to a party listed on a restricted-party list described in Section A.3 below, whether directly or through an intermediary.
4. Export or re-export to a country, region or vessel subject to comprehensive trade sanctions, without the licence or authorisation such trade requires.
5. Use in the design, testing or production of unmanned aerial systems or missile technology beyond the account holder's stated civilian application.

Trigger	What the account holder must do	When
Reexport or transshipment to a third country	Confirm the destination is not subject to sanctions or an end-use control before shipping; retain the shipping documents.	Before the onward shipment leaves the account holder's custody.
Access to controlled technical data by a foreign national employee or contractor	Confirm the individual's nationality and country of most recent residence against any licence exception the goods rely on.	Before technical data, drawings or calibration procedures are shared internally.
Order quantity, specification or delivery pattern inconsistent with the stated business activity	Provide a short written explanation to the account manager on request.	Before the order is released for shipment.
Request to ship to a freight forwarder, consolidator or address that differs from the billing or an approved shipping address	Confirm the ultimate consignee and end user in writing.	Before the order is released for shipment.
Any of the prohibited end uses listed above becomes known or suspected	Stop the transaction and notify the Company's compliance function.	Immediately.

A shipment routed first to a domestic freight consolidator or a third-party logistics warehouse before its final international movement is treated, for the purposes of this section, as a step in the same export rather than as a separate domestic sale; an account holder that uses this kind of routing should tell the

Company at the time of order so that the correct classification and any licence exception can be recorded against the shipment from the outset rather than reconstructed later if a question arises.

Where a product's classification allows the transaction to proceed under a licence exception rather than under a specific licence, the packing list identifies the exception relied on so that the account holder can confirm its own onward transaction still qualifies for it; a licence exception available to the Company's sale does not automatically extend to a different destination, end user or end use further down the chain, and the account holder should not assume that it does without checking the terms of the exception itself.

An account holder that regularly exports goods bought from the Company, or that maintains its own export compliance programme, may ask the Company's compliance function to confirm the classification of a specific product line in writing before placing a large or recurring order; this confirmation is provided on a best-efforts basis, is limited to the classification the Company itself relies on, and does not extend to advising the account holder on the licensing requirements of the destination country.

An account holder that operates its own compliance programme is encouraged, though not required, to name a single point of contact for export matters to the Company's compliance function; doing so speeds the review of an advance classification request and avoids the confirmation being sent to a general order-processing address where it may not reach the person who needs it. The Company keeps a record of the point of contact named in this way against the account, separately from the ordering contacts recorded under Section 4.

Where an account holder's own staff regularly place export orders, a short annual briefing from the account holder's own compliance or legal function on the restrictions in this section is a reasonable and proportionate step for a business of typical size in this sector; the Company does not mandate the form the briefing takes, and does not ask to see records of it except where an audit under Section A.6 below has already been triggered for another reason.

These obligations sit alongside, and do not replace, any export licence, permit or authorisation that the account holder must itself hold to carry on its own business, including where the account holder is a manufacturer that incorporates goods bought from the Company into its own products before export. The Company's classification information is provided to help the account holder make its own determination; it is not legal advice, and an account holder that is unsure whether a licence is required should obtain its own advice or apply to the relevant government agency for a classification or advisory opinion before shipping.

A.3 Restricted-Party Screening and Match Handling

Every account is screened before it is opened, as described in Section 1.11, and every account is re-screened on each anniversary and whenever a change of ownership, control or address is notified. Between those points, the Company also screens active orders against updates to the consolidated lists it relies on, so that a party added to a list after the account was opened is caught before further goods are shipped rather than only at the next annual review. This section describes what happens when that ongoing screening produces a possible match, and it is separate from, and in addition to, the screening the account holder is itself expected to carry out on its own customers where it resells.

A possible match does not mean the order is cancelled outright. The order is placed on hold, the account holder is not told which list produced the match or why, and the matter is referred to the compliance function for a documented comparison of the identifying details on the order against the details on the list entry. Most holds are resolved as false positives within a small number of business days, most often because the name on the order is a common name shared with a listed party but the address, date of birth, place of registration or other identifying detail does not correspond. A false positive is cleared, the

hold is released, and the order proceeds without further reference to the account holder beyond the delay itself.

1. The order and any related open orders on the account are held; goods already in transit are recalled if this is still possible.
2. The compliance function documents the comparison against the list entry and, where the outcome is not clear, escalates to outside counsel or to the issuing agency for guidance.
3. Where the match is confirmed, the account is suspended, the transaction is not completed, and any funds already received for it are handled as the applicable law requires rather than simply refunded in the ordinary course.
4. A report is made to the relevant government agency where the applicable regulation requires one; the Company does not disclose to the account holder that a report has been made.
5. The account is not reopened without a further review by the compliance function, which may require updated ownership and control information before an order can be accepted again.

The Company is not able to explain to an account holder why an order has been placed on hold while the review is in progress, and an account holder should not treat a hold as evidence of wrongdoing on its part; the great majority of holds arise from name similarity rather than an actual match. An account holder that needs to know whether an outstanding order will ship in time for a committed date should ask its account manager for a status update rather than for the reason for the hold, since the reason cannot be given even where it would be reassuring to share it.

Where a review cannot be completed within the period described above, most often because the identifying information on the order is incomplete or because the compliance function has referred the matter to outside counsel or to a government agency for guidance, the hold continues until the review is concluded, and the Company does not accept liability for a delivery commitment missed because of a hold conducted under this section. An account holder facing a real risk of loss from an extended hold should say so, since in some cases the part of an order not affected by the review can be released separately from the part that is.

An account holder that believes a confirmed match was wrongly decided, for example because it holds evidence of a correction to the underlying list that the compliance function had not yet seen, may ask for the decision to be reconsidered; the request is made in writing to the compliance function and is reviewed by a person who did not make the original decision. Reconsideration does not reopen the account while it is pending, and a request that raises no new information is not treated as a basis to keep reopening a closed review.

A hold placed under this section is not an invoice dispute, a returns matter or a service complaint for the purposes of Section 9, and raising the hold through that procedure does not speed its resolution; an account holder that has both a hold under this section and an unrelated dispute under Section 9 open at the same time should expect the two to be handled by different teams on different timescales.

Reference: [as shown on the acknowledgement] Date: [date of issue]

Dear Account Holder,

This is to notify you that one or more orders on your account have been placed on hold pending a routine compliance review. This step is procedural and does not by itself indicate that any problem has been found with your account or with any individual named on it.

While the hold is in place, no further shipments will be released against the orders concerned, and any related purchase order acknowledgements should be treated as provisional. Our aim is to complete the

review within a small number of business days; if it is likely to take longer, your account manager will let you know.

We are not able to disclose the specific list or basis under review while it is open. If the review concludes without a finding, the hold will be released and the orders will proceed in the ordinary course without further action on your part.

If you have a delivery commitment that depends on the orders held, please tell your account manager so that the urgency can be taken into account.

Yours faithfully,

Han Ji-woo

Trade Compliance Officer

A.4 Anti-Bribery, Gifts and Hospitality

The Company's employees may not seek, accept or be given anything of value in return for favourable treatment of an account, and this section sets out the standard the Company expects an account holder's own staff, agents and contractors to observe when dealing with the Company's employees. The standard applies regardless of the size of the account, the seniority of the individuals involved or whether the item offered is described as a gift, an entertainment, a courtesy or a customary local practice; the description given to an item does not change how it is treated under this Supplement.

Modest, infrequent items of nominal value, such as a branded promotional item, a working meal taken in the course of a genuine business meeting, or attendance at an industry event to which the Company's employee is also contributing as a speaker or exhibitor, are generally acceptable and do not need prior approval, but must still be recorded by the Company's employee in the gifts and hospitality register described in Section 1.15. An item that is not modest, that is offered outside a genuine business context, that is offered to a family member of the Company's employee rather than to the employee, or that is offered close in time to a pending credit decision or dispute requires the approval described in the table below before it is accepted, and in some cases must be declined outright.

Type of item	Threshold	Approval before acceptance	Register entry
Branded item of nominal value (pen, cap, calendar)	No threshold; always acceptable	Not required	Not required
Working meal in connection with a business meeting	Reasonable and proportionate to the occasion	Not required below \$75 per person; above that, supervisor approval	Required
Event or facility tour hospitality (single day, no overnight stay)	Reasonable and proportionate	Supervisor approval	Required
Hospitality involving overnight travel or accommodation	Any value	Compliance function approval	Required
Seasonal or personal gift (holiday, birthday, life event)	Modest, customary items only	Supervisor approval above \$50	Required
Cash, cash equivalents (gift cards, vouchers) or loans	Not applicable	Never acceptable	Not applicable

The standard in this section applies equally where the item is offered through an intermediary acting for the account holder, such as a distributor, a manufacturer's representative or a consultant retained to manage the relationship with the Company, and an account holder is not relieved of responsibility for an improper offer made on its behalf merely because the offer did not pass through its own employee. An account holder that engages an intermediary of this kind for dealings with the Company is expected to make the intermediary aware of this section.

Cash and cash equivalents, including gift cards, vouchers and interest-free loans, are never acceptable in any amount and must be declined and reported regardless of the relationship between the parties. Facilitation payments intended to expedite a routine government action, and any contribution, in the Company's name or apparently on the Company's behalf, to a political party, candidate or campaign, are also prohibited outright and are treated as a serious breach of this Supplement rather than as a gifts and hospitality matter to be logged and cleared.

A donation to a charity nominated or requested by a Company employee, as distinct from a donation the account holder makes on its own initiative to a cause of its own choosing, is treated in the same way as a gift to the employee personally and is subject to the same approval described above; an account holder that wishes to support a cause connected with the Company, such as a scholarship fund or a community programme the Company itself sponsors, should direct the donation to the fund directly rather than through an individual employee.

An account holder whose own staff or agents offer an item that falls outside what is described above, or that pressures a Company employee to accept an item after being told that approval is required, will have the matter referred to the account's credit review, and the Credit Manager may suspend or close the account under Section 1.10 independently of any other consequence in law. Repeated offers, even of modest items, after the account holder has been asked to stop are treated in the same way as a single significant offer.

Where the Company sponsors, exhibits at, or sends staff to attend an event organised by an account holder, or an event at which an account holder is also present, the same limits apply in reverse: the Company's employees may not accept a speaking fee, a waived registration fee or a comparable benefit from an account holder without the same approval described above, and an account holder is not disadvantaged in its dealings with the Company because it declines to offer one.

A.5 Conflict Minerals and RoHS/REACH Declarations

Section 7.8 describes the declarations of conformity, safety data sheets and conflict-minerals reporting that the Company provides to a customer on request for the products it manufactures or distributes. This section describes the corresponding declarations the Company asks an account holder to provide where the account holder supplies its own material, tooling, dies, packaging components or consigned parts for use in the Company's kitting, calibration or vendor-managed inventory services, since in that situation the account holder is, for those items, in the position of a supplier to the Company rather than only a customer of it.

This section does not apply to an account holder that only buys finished goods from the Company for its own use or for straightforward resale without supplying material of its own; the sourcing and substance declarations described here are relevant only where the account holder is, for a specific order, itself a source of material or components that the Company incorporates, kits or processes.

An account holder that consigns material for a kitted assembly, or that supplies a customer-owned die or tool for a fabrication order, is asked to complete the Company's standard sourcing declaration for tin, tantalum, tungsten and gold contained in that material before the first order using it is accepted, and to update the declaration if the sourcing changes. The declaration is a statement of the account holder's own supply chain and is relied on by the Company in its own downstream reporting to a customer that requests it; an account holder that cannot trace its sourcing to this level should say so rather than provide an estimate presented as a traced figure.

Where consigned material or a customer-supplied component contains restricted substances under RoHS or REACH, or is intended for inclusion in an assembly that will itself be placed on a market where those regimes apply, the account holder must disclose this before the material is accepted for

processing, together with the applicable safety data sheet. The Company's calibration and fabrication services are not a substitute for the account holder's own compliance programme, and accepting material for processing does not amount to a representation by the Company that the material meets any particular regulatory standard.

Declarations under this section are kept with the order record for the retention period set out in Section A.6 below and may be requested again if a customer of the account holder, or a regulator, later asks the Company to confirm the basis on which a declaration it issued was made. An account holder that provides a declaration it knows to be false, or that later discovers to be false and does not correct, is treated in the same way as an account holder that has made a false statement on the credit application under Section 1.9.

A dispute about the content of a sourcing or substance declaration, for example where the Company's own downstream customer questions a figure passed on from an account holder's declaration, is resolved between the Company and the account holder in the first instance, with the underlying supporting records described in Section A.6 below made available to the Company for that purpose; the Company does not disclose an account holder's declaration to a third party without telling the account holder first, except where a regulator requires immediate disclosure.

An account holder operating under the vendor-managed inventory programme described in Section 7.7, where consigned stock rather than material for processing is involved, is not required to provide the sourcing declarations described in this section for that consigned stock, since the stock remains the Company's own product moving through the account holder's premises rather than material the account holder is supplying to the Company.

A.6 Record Keeping and the Company's Audit Rights

An account holder is expected to keep, for its own records, the documents that support its compliance with this Supplement: any export licence, authorisation or classification advice it has obtained for goods bought from the Company; screening records for its own downstream customers where it resells; gifts and hospitality register entries relating to dealings with the Company's staff; and the sourcing and substance declarations described in Section A.5 above. These are the account holder's own records rather than documents the Company holds, and the Company does not maintain copies of them as a matter of course.

The retention periods in the table below reflect the periods commonly required by the export control, anti-corruption and product-compliance regimes that apply to the goods the Company supplies; an account holder subject to a longer period under its own law, or under a regime specific to its own industry, should keep the record for the longer of the two periods rather than the period shown here.

Record	Minimum retention	Kept by
Export licence, authorisation or classification advice obtained by the account holder	5 years from the date of the transaction	Account holder
Screening records for the account holder's own downstream customers	5 years from the date of the screening	Account holder
Gifts and hospitality register entries relating to the Company's staff	3 years from the date of the entry	Account holder; the Company keeps its own register under Section 1.15
Conflict-minerals and substance declarations under Section A.5	5 years from the date provided, or the life of the order record if longer	Account holder
Records produced to the Company under an audit conducted under this section	3 years from the date the audit closes	Company

The Company may audit an account holder's compliance with this Supplement where the Company has a reasonable basis to believe a requirement has not been met, or as a routine check of an account that resells goods obtained from the Company or that operates under a vendor-managed inventory arrangement. An audit is conducted on no less than ten business days' written notice, is limited to the records described in this section that relate to goods bought from the Company, and is carried out during the account holder's normal business hours either by the Company's own compliance staff or by an independent firm engaged by the Company and bound to keep what it sees confidential.

Each party bears its own cost of an audit conducted under this section, except that where an audit finds a material failure to meet a requirement of this Supplement, the account holder bears the reasonable cost of the audit and of any follow-up review needed to confirm that the failure has been corrected. An account holder that refuses a properly noticed audit is treated as having failed the audit for the purpose of this section.

Anything the Company or its independent firm sees in the course of an audit conducted under this section is used only to confirm compliance with this Supplement and is not shared with the account's credit reviewer, its sales territory manager under Section 2.6, or any other part of the Company, except to the extent needed to act on a finding that the account should be suspended or closed.

Where the Company itself uses a subcontractor for a calibration, fabrication or kitting step, the subcontractor is bound by confidentiality and record-keeping obligations at least as strict as those in this section, and an account holder's material or declarations are not passed to a subcontractor located in a destination that would itself raise a concern under Section A.2 above without the account holder being told in advance.

A.7 Reporting Concerns and Non-Retaliation

A concern about a possible breach of this Supplement, by the Company's own staff or by an account holder, can be raised with the account manager, with the Credit Manager, or through the ethics line described in the contact directory in Section 10.2, whichever the person raising it is most comfortable using. A concern raised through the ethics line can be made without giving a name, and the Company does not attempt to identify an anonymous reporter.

The Company does not take adverse action against an account, or against an individual raising a concern on behalf of an account holder, because a concern was raised in good faith, even where the concern is later found not to be substantiated. Good faith means only that the person raising the concern honestly believed it to be true when they raised it; it does not require the concern to turn out to be correct. An account holder that believes it has suffered adverse treatment because it raised a concern should say so to the Credit Manager directly, and the matter will be reviewed outside the normal account-management line.

A concern raised maliciously, or one raised about a competitor's account in an attempt to disrupt that account rather than in a genuine belief that this Supplement has been breached, is not protected by this section, and the Company reserves the position it would otherwise have, including in relation to its own account with the party raising it, where that is later shown to have happened. This does not affect a concern that is raised in good faith but turns out to be mistaken, which remains protected regardless of the outcome of the review.

An account holder that resells goods obtained from the Company, or that operates under a vendor-managed inventory arrangement, is asked to confirm, at each annual review under Section 1.11, that the staff who deal with the Company have been made aware of the standards in this Supplement; the confirmation may be a short written statement from an authorised officer and does not need to describe the account holder's own internal training in detail.

Training materials summarising this Supplement in plain language are available from the account manager on request and may be shared by the account holder with its own staff; the materials are provided for convenience only and do not replace an account holder's own judgement about what training its particular staff need given the nature of its business.

A material change to this Supplement between annual reprints of the onboarding pack is communicated to existing account holders through the same channel used for pricing and product notices, and an account holder is expected to treat that communication as forming part of this Supplement from the date given in the notice, whether or not the physical pack it holds has yet been reissued.

This section does not create, and is not intended to be interpreted as creating, any right enforceable by a person who is not a party to the account agreement.

Section 3. Guide to the Credit Application

The credit application (form FM420083) has five banded sections: company information, credit request, billing information, primary contact, and trade references, followed by the certification. Complete every field that applies; write N/A where a field does not apply rather than leaving it blank.

3.1 Company information

- Legal name: exactly as it appears on the certificate of incorporation or formation, including the suffix (Inc., LLC, Ltd.). The account is opened in this name and invoices are issued to it.
- DBA: any trading name, if different from the legal name.
- Entity type: Corporation, Limited Company, LLC, Partnership or Sole Proprietorship.
- Account type requested: see Section 1.2. Most first-time applicants are Prospects until the first order.
- Industry: one classification from the list in Section 2.4.
- Website, telephone and fax: the main business numbers, not those of the contact.
- Year established, employees and annual revenue: as at the last fiscal year end. Revenue is written in dollars without cents.
- Tax ID and DUNS number: from the W-9 and the Dun and Bradstreet record.
- Description of business: one or two sentences saying what the business makes or does and for whom.

3.2 Credit request and billing

- Requested credit limit and expected monthly purchases: in dollars. See Section 1.4 for how these are used.
- Purchase order required: Yes if the applicant's accounts payable will not pay an invoice without a purchase order number.
- Bankruptcy: whether the applicant, or any principal, has filed for bankruptcy in the last seven years.
- Billing address: the address to which invoices and statements are sent — street, city, state, ZIP and country. Where the applicant has more than one office, give the accounts payable office.

3.3 Contact and references

- Primary contact: the person the Credit Department may contact about the application and the account, with title, e-mail and direct telephone.
- Trade references: businesses that have extended credit to the applicant. Give the reference's name, the applicant's account number with that reference, the city and state, and a telephone number for the reference's accounts receivable department. References are contacted directly; the applicant should tell them to expect the enquiry.

3.4 Frequently asked questions

We have two addresses. Which one goes on the form?

The billing address is where the accounts payable function sits. Shipping addresses are added to the account after it is opened and may be as many as needed.

Our revenue is confidential.

The figure is used only to size the credit limit and is held under the data protection notice in Section 8. An application without a revenue figure is assessed as a Prospect on prepayment terms.

We cannot give three trade references.

Give as many as you can. A bank reference and two trade references are usually sufficient for a limit up to twenty-five thousand dollars.

How long is the application valid?

Ninety days from the date of signature. An application older than that is refreshed by a telephone call to the primary contact before assessment.

Can the account be opened in a trading name?

No. The account is opened in the legal name; the trading name is recorded as the DBA and may be printed on delivery documents.

What if the entity type changes after opening?

Notify the Credit Department within thirty days under Section 1.9. A change from a sole proprietorship or partnership to a corporation or LLC requires a fresh application, since the debtor changes.

Do you need the employee count exactly?

The headcount at the last fiscal year end, to the nearest ten, is sufficient. It is used with revenue to classify the account for reporting.

Our purchasing is centralised at a parent company.

Apply in the name of the entity that will be invoiced and will pay. If that is the parent, the parent applies and lists the operating locations as shipping addresses after the account opens.

Can a reference be a bank?

One bank reference is requested separately. Trade references should be suppliers, not banks, landlords or utilities.

How is the credit limit communicated?

In the welcome letter, which states the limit, the term, the pricing tier and the purchase-order setting. The limit is also visible to named users on the web portal.

3.5 Worked specimen

The following pages show a specimen credit application completed for an imaginary company, to illustrate how each band is filled in. The particulars are fictitious and are printed for guidance only. Do not copy any value from the specimen into your own application.

SPECIMEN — FOR GUIDANCE ONLY — NOT AN APPLICATION

COMMERCIAL CREDIT APPLICATION

Page 1 of 3
Application ID APP-0000-00000

FM420083

Please complete in full — type or print in ink. **** All sections must be completed ** (any incomplete application will be returned)**

IMPORTANT INFORMATION ABOUT PROCEDURES FOR OPENING A NEW ACCOUNT

To help the government fight the funding of terrorism and money laundering activities, federal law requires all financial institutions to obtain, verify and record information that identifies each business that opens an account. What this means for you: when you open an account we will ask for the business name, physical address, taxpayer identification number and other identifying information.

APPLICANT INFORMATION

Legal Name: Example Company Inc. (SPECIMEN) Doing business as (DBA), if different: Example Trading

Telephone: (000) 000-0000 Fax: _____ Company Website: www.example.com

Fed Employer ID Number (Tax ID): 00-0000000 DUNS: 00-000-0000 Business Start Date: 2000

Entity Type (choose one) ☒ Corporation ☐ LLC ☐ Partnership ☐ Sole Proprietorship ☐ Limited Company ☐ Non-Profit - **Required**

Account Type Requested (choose one) ☐ Customer ☒ Prospect ☐ Partner ☐ Reseller - **Required**

BILLING ADDRESS

Street (**required**) — No P.O. Boxes or CMRA

Street: 1 Example Street, Suite 1

City: Anytown State: TX Zip: 00000 Country: USA

BUSINESS PROFILE

Industry Type: Other # of Employees: 10

Gross Annual Revenue \$: 1,000,000

Description of Business: Describe the applicant's principal business activity in one or two sentences, saying what it makes or does and for whom.

REQUESTED CREDIT LIMIT \$ 50,000	Monthly spend with this supplier \$ 5,000	PO number required for payment No
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BILLING CONTACT

Billing Contact (First, MI, Last): Sample Contact Title: Title of the contact

Primary Phone: (000) 000-0001 E-mail: contact@example.com

TRADE REFERENCES

TRADE REFERENCE 1

Vendor Name: Reference Company A
Account #: REF-001 Phone: (000) 000-0002
City / State: Anytown, TX

TRADE REFERENCE 2

Vendor Name: Reference Company B
Account #: REF-002 Phone: (000) 000-0003
City / State: Anytown, TX

TRADE REFERENCE 3

Vendor Name: _____
Account #: _____ Phone: _____
City / State: _____

TRADE REFERENCE 4

Vendor Name: _____
Account #: _____ Phone: _____
City / State: _____

Public Filings: Has the Applicant, or any principal involved in the company, ever filed for protection under bankruptcy laws? ☐ Yes ☒ No If yes, please explain _____

REQUIRED AUTHORIZATION

By signing below the Applicant certifies that the information given in this application is true and complete, and further agrees that:

1. no further supplies will be requested while the account is overdue;
2. the supplier is authorised to investigate the credit references given above and to obtain a commercial credit report;
3. goods may require prepayment until the account has been opened and a credit limit assigned.

Name: Sample Contact Title: Title of the contact

Signature: _____ Date: _____

SUPPLIER USE ONLY	STD	EXT	MID	First Order Amount \$

FM420083 Commercial Credit Application Terms and Conditions on page 3 →

END OF SPECIMEN — the particulars above are fictitious.

Section 4. Credit Application (completed)

The Applicant's completed credit application follows on the next page. It is the source of every value entered when the account record is created in the customer system. The specimen in Section 3.5 is an illustration only and must not be used.

COMMERCIAL CREDIT APPLICATION

Page 1 of 3
Application ID APP-2026-00318

FM420083

Please complete in full — type or print in ink. **** All sections must be completed ** (any incomplete application will be returned)**

IMPORTANT INFORMATION ABOUT PROCEDURES FOR OPENING A NEW ACCOUNT

To help the government fight the funding of terrorism and money laundering activities, federal law requires all financial institutions to obtain, verify and record information that identifies each business that opens an account. What this means for you: when you open an account we will ask for the business name, physical address, taxpayer identification number and other identifying information.

APPLICANT INFORMATION

Legal Name: Northwind Components Ltd. Doing business as (DBA), if different: _____
Telephone: (555) 412-8890 Fax: (555) 412-8891 Company Website: www.northwindcomponents.com
Fed Employer ID Number (Tax ID): 56-0447119 DUNS: 07-441-8820 Business Start Date: 1998
Entity Type (choose one) ☐ Corporation ☐ LLC ☐ Partnership ☐ Sole Proprietorship ☒ Limited Company ☐ Non-Profit - **Required**
Account Type Requested (choose one) ☐ Customer ☒ Prospect ☐ Partner ☐ Reseller - **Required**

BILLING ADDRESS

Street (required) — No P.O. Boxes or CMRA

Street: 4820 Meridian Parkway, Suite 300

City: Raleigh State: NC Zip: 27606 Country: USA

BUSINESS PROFILE

Industry Type: Electronics Manufacturing # of Employees: 180
Gross Annual Revenue \$: 24,000,000
Description of Business: Contract manufacturer of precision connectors and cable assemblies for the industrial automation sector.

REQUESTED CREDIT LIMIT \$ 250,000	Monthly spend with this supplier \$ 38,000	PO number required for payment Yes
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BILLING CONTACT

Billing Contact (First, MI, Last): Diane Whitfield Title: Commercial Director
Primary Phone: (555) 412-8895 E-mail: d.whitfield@northwindcomponents.com

TRADE REFERENCES

TRADE REFERENCE 1

Vendor Name: Halstead Industrial Supply
Account #: 44-90218 Phone: (555) 771-2040
City / State: Raleigh, NC

TRADE REFERENCE 2

Vendor Name: Cardinal Freight Systems
Account #: CF-11907 Phone: (555) 668-9912
City / State: Greensboro, NC

TRADE REFERENCE 3

Vendor Name: Piedmont Tooling Inc.
Account #: PT-2240 Phone: (555) 903-4417
City / State: Durham, NC

TRADE REFERENCE 4

Vendor Name: Atlantic Wire & Cable
Account #: AWC-8813 Phone: (555) 220-7764
City / State: Norfolk, VA

Public Filings: Has the Applicant, or any principal involved in the company, ever filed for protection under bankruptcy laws? ☐ Yes ☒ No If yes, please explain _____

REQUIRED AUTHORIZATION

By signing below the Applicant certifies that the information given in this application is true and complete, and further agrees that:

1. no further supplies will be requested while the account is overdue;
2. the supplier is authorised to investigate the credit references given above and to obtain a commercial credit report;
3. goods may require prepayment until the account has been opened and a credit limit assigned.

Name: Diane Whitfield Title: Commercial Director

Signature: _____ Date: _____

SUPPLIER USE ONLY	STD	EXT	MID	First Order Amount \$
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FM420083 Commercial Credit Application Terms and Conditions on page 3 →

Section 5. Reference Request Forms

The Credit Department sends the following forms to the references named on the application. They are reproduced here so that the Applicant knows what its references will be asked. The Applicant does not complete these forms.

5.1 Trade reference request

Item	Entry
Name of the business giving the reference	
Applicant's account number with you	
Date account opened	
Credit limit extended	
Highest balance in the last 12 months	
Current balance	
Payment terms	
Payment record (prompt / 1–30 days slow / 31–60 days slow / over 60)	
Any returned payments or credit holds in the last 12 months	
Name, title and signature of respondent	
Date	

5.2 Bank reference request

Item	Entry
Bank and branch	
Account relationship since	
Type of accounts held	
Average balance range (low / medium / high five, six or seven figures)	
Loan facilities and whether performing as agreed	
Any returned items in the last 12 months	
Officer's name, title and signature	
Date	

The Applicant's authorisation for the release of this information is given in the certification on the application form.

5.3 Guarantee form (blank)

For use only where a guarantee is required under Section 1.4. The guarantor's signature must be witnessed.

Item	Entry
Name of guarantor (individual or company)	
Address of guarantor	
Relationship to the applicant	
Name of the applicant whose obligations are guaranteed	
Cap on the guaranteed amount, if any	
Guarantor's signature	

Name and address of witness	
Witness signature and date	

5.4 Resale certificate summary

State	Certificate form	Renewal
Texas	Form 01-339 (Texas Sales and Use Tax Resale Certificate)	No expiry; refreshed on change of business
Oklahoma	Sales Tax Permit copy plus resale statement	Permit renewed every 3 years
Louisiana	Form R-1064 resale certificate	Annual
Arkansas	Form ST-391 exemption certificate	No expiry
New Mexico	Nontaxable Transaction Certificate (NTTC) Type 2	No expiry; issued per vendor

Section 6. Terms and Conditions of Sale

1. Application. These terms apply to every quotation, order and delivery of goods and services by the Company to a customer, to the exclusion of any terms the customer seeks to impose. Acceptance of delivery constitutes acceptance of these terms. No variation is effective unless in writing and signed by an officer of the Company.
2. Quotations and orders. A quotation is an invitation to order and may be withdrawn at any time before acceptance. An order is accepted when the Company issues an order acknowledgement. The Company may decline any order without giving a reason.
3. Prices. Prices are those in the Company's price list in force on the date of acknowledgement, in United States dollars, exclusive of taxes, duties and delivery unless stated. Prices for goods not in stock are subject to the Company's cost at the time of supply.
4. Payment. Payment is due in accordance with the terms shown on the invoice or, if none, net thirty days from the invoice date. Time of payment is of the essence. The Company may charge interest on overdue amounts at one and a half percent per month, and may suspend deliveries and withdraw credit while any amount is overdue.
5. Delivery. Delivery dates are estimates. The Company is not liable for delay. Delivery is complete when the goods are handed to the carrier at the Company's premises (FOB origin) unless the acknowledgement states otherwise. The customer must inspect the goods on receipt and notify shortage or visible damage within five working days.
6. Risk and title. Risk passes on delivery to the carrier. Title passes when the Company has received payment in full for the goods and for all other amounts then due from the customer. Until title passes, the customer holds the goods as bailee, stores them separately, and may not encumber them; the Company may enter the customer's premises to recover them.
7. Returns. Goods may be returned only with a return authorisation number issued by the Company within thirty days of delivery, in original packaging and unused condition, and are subject to a restocking charge of fifteen percent. Special-order and cut-to-length goods are not returnable.
8. Warranty. The Company warrants that goods it manufactures conform to their published specification for twelve months from delivery. Goods manufactured by others carry the manufacturer's warranty only. The Company's sole obligation under warranty is to repair or replace the goods, or to refund the price, at its option.
9. Limitation of liability. The Company's liability in respect of any order, whether in contract, tort or otherwise, is limited to the price of the goods concerned. The Company is not liable for loss of profit, loss of production, or any indirect or consequential loss.
10. Cancellation. An order may be cancelled only with the Company's written consent, and the customer must pay for work done and materials committed up to cancellation.
11. Force majeure. The Company is not liable for failure to perform caused by events beyond its reasonable control, including supplier failure, transport disruption, labour disputes, and acts of government.
12. Compliance. The customer will comply with export control and sanctions laws applicable to the goods and will not re-export them to a prohibited destination or end use.
13. Governing law. These terms are governed by the laws of the State of Texas. The courts of Dallas County have exclusive jurisdiction, and the customer submits to that jurisdiction.
14. Entire agreement. These terms, the acknowledgement and the invoice constitute the entire agreement for each order.

6A. Warranty schedule for Company-manufactured goods

Product group	Warranty period	Excluded
Fabricated brackets and mounts	12 months	Corrosion after coating damage; overload
Cut-to-length hose assemblies	12 months	Abrasion; use above rated pressure or temperature
Kitted assemblies	12 months or the component warranty, whichever is shorter	Components supplied by the customer
Calibrated instruments (calibration service)	Calibration valid 12 months	Drift after mechanical shock; tampering with seals
Rebuilt cylinders and valves	6 months	Contaminated media; incorrect installation
Custom enclosures	12 months	Modification by the customer

Warranty claims are made through customer service with the invoice number and a description of the failure. The Company may require the goods to be returned for inspection at its cost where the claim is upheld and at the customer's cost where it is not.

6B. Special terms for Partner accounts under a framework agreement

1. Scope. A framework agreement sets prices, discounts, lead times and service levels for the products and services it lists, for a period of one to three years. Orders placed under the framework are call-offs and are governed by the framework and, where the framework is silent, by the terms in Section 6.
2. Pricing. Framework prices are fixed for the first twelve months and thereafter adjusted annually by a formula stated in the framework, normally the change in the producer price index for the product group with a cap of five percent.
3. Volume commitment. Where the Partner commits to a minimum annual volume, the discount is conditional on the commitment; if the volume is not met, the difference between the framework price and the price the actual volume would have earned is invoiced at year end.
4. Stocking. The Company holds agreed stock levels of framework products for the Partner's exclusive call-off. Stock held for more than twelve months without call-off may be invoiced to the Partner or released for general sale on thirty days' notice.
5. Project pricing. For a specific project, the Partner may request project pricing below framework prices; project pricing applies only to orders identified with the project reference and shipped to the project site.
6. Service levels. The framework states the delivery lead time, the on-time delivery target, the fill rate target and the technical support response time. Performance is reported quarterly and reviewed at a joint meeting.
7. Termination. Either party may terminate the framework on ninety days' notice; call-offs already accepted are fulfilled. The Company may terminate immediately where the Partner is in breach of the credit terms or of Section 6, clause 12.

Section 7. Catalogue and Service Summary

7.1 Product families

Family	Coverage	Lead time (stocked)	Minimum order
Fasteners and fixings	Metric and imperial bolts, nuts, washers, anchors, rivets; grades 8.8 to 12.9, A2 and A4 stainless	Same day	\$50
Bearings and power transmission	Ball and roller bearings, housings, belts, pulleys, couplings, chain	Same day	\$50
Pneumatics	Cylinders, valves, FRL units, tubing, fittings	1–2 days	\$100
Hydraulics	Hose, fittings, filters, pumps, seals	1–2 days	\$100
Electrical and controls	Contactors, relays, sensors, cable, enclosures, terminal blocks	Same day	\$50
Instrumentation	Pressure, temperature, flow and level instruments; calibration service	2–5 days	\$150
Cutting tools and abrasives	Drills, end mills, inserts, grinding and finishing	Same day	\$50
Safety and PPE	Eye, hand, hearing and fall protection; signage; spill control	Same day	\$50
Adhesives, sealants and lubricants	Threadlockers, sealants, greases, oils, cleaners	Same day	\$50
Material handling	Casters, hoists, slings, storage, packaging	2–5 days	\$150

7.2 Service levels

Service	Description	Availability
Standard delivery	Ground carrier to the customer's dock	All accounts
Next-day delivery	Orders accepted by 15:00 ship the same day	Customer accounts and above
Scheduled delivery	Route delivery on fixed days by the Company's own fleet	Zones 1 and 2
Vendor-managed inventory	Company staff replenish bins at the customer's site to agreed levels	Gold tier and above
Kitting	Components assembled into kits to the customer's bill of materials	Gold tier and above
Calibration	Instrument calibration with traceable certificates	All accounts
Technical support	Application engineers by telephone and site visit	All accounts

7.3 Delivery zones and charges

Zone	Area	Standard delivery	Free delivery threshold
1	Dallas–Fort Worth metropolitan area	\$12	\$250
2	Austin, San Antonio, Houston, Waco, Tyler	\$18	\$400
3	Rest of Texas, Oklahoma, Louisiana, Arkansas, New Mexico	\$28	\$600
4	Continental United States	Carrier rate	\$1,000
5	Alaska, Hawaii, Canada, Mexico	Carrier rate plus documentation	None

7.4 Branch locations

Branch	Address	Counter hours	Telephone
Dallas (head office and main warehouse)	5400 Commerce Center Boulevard, Dallas, TX 75207	Mon–Fri 7:00–18:00, Sat 8:00–12:00	(555) 480-2100
Fort Worth	2210 Northside Industrial Drive, Fort Worth, TX 76106	Mon–Fri 7:00–17:30	(555) 480-2200
Austin	8900 Cameron Road, Suite 100, Austin, TX 78754	Mon–Fri 7:00–17:30	(555) 480-2300
Houston	14450 West Hardy Road, Houston, TX 77060	Mon–Fri 7:00–18:00, Sat 8:00–12:00	(555) 480-2400
San Antonio	6200 Interstate 35 North, San Antonio, TX 78218	Mon–Fri 7:00–17:30	(555) 480-2500
Oklahoma City	3300 South Meridian Avenue, Oklahoma City, OK 73119	Mon–Fri 7:30–17:00	(555) 480-2600

7.5 Technical services

The Company's application engineers assist customers with product selection, cross-referencing of competitor part numbers, sizing of pneumatic and hydraulic components, and specification of instrumentation. Site visits are available within Zones 1 to 3 at no charge for Customer accounts and above; outside those zones, travel is charged at cost. Engineering drawings supplied by the customer are treated as confidential and are used only for the purpose of the enquiry.

7.6 Instrument calibration service

Instrument type	Standard turnaround	Certificate	Accreditation
Pressure gauges and transmitters	3 working days	Traceable to NIST	ISO/IEC 17025 (pressure, 0 – 10,000 psi)
Temperature sensors and indicators	3 working days	Traceable to NIST	ISO/IEC 17025 (–40 – 650 °C)
Flow meters (liquid)	5 working days	Traceable to NIST	Manufacturer-traceable
Torque wrenches	2 working days	Traceable to NIST	ISO/IEC 17025
Dimensional (calipers, micrometers, gauge blocks)	2 working days	Traceable to NIST	ISO/IEC 17025
Electrical test equipment	5 working days	Traceable to NIST	Manufacturer-traceable

7.7 Vendor-managed inventory programme

Under the vendor-managed inventory programme the Company installs labelled bins at the customer's point of use, sets minimum and maximum levels with the customer, and replenishes on a fixed schedule from its route vehicles. The customer is invoiced for replenishments only, at the account's pricing tier, and receives a monthly consumption report by bin and cost centre. The programme requires a Gold-tier account, a minimum of forty bins, and a twelve-month agreement. Bins, labels and racking remain the Company's property.

7.8 Sustainability and product compliance

The Company holds ISO 9001 and ISO 14001 certification for its Dallas operations. Products are supplied with the manufacturer's declarations of conformity where applicable, including RoHS and REACH statements for electrical and electronic goods and safety data sheets for chemicals, adhesives and lubricants. Customers may request conflict-minerals reporting for products containing tin, tantalum, tungsten or gold; the Company collects the information from its suppliers annually.

7.9 Price list extract — fasteners and fittings (list price, per 100 unless stated)

Part number	Description	Unit	List price	Part number	Description	Unit	List price
HB-M6-20-88	Hex bolt M6 × 20, grade 8.8, zinc	100	\$9.80	WF-M6-A2	Flat washer M6, A2 stainless	100	\$3.40
HB-M8-25-88	Hex bolt M8 × 25, grade 8.8, zinc	100	\$16.20	WF-M8-A2	Flat washer M8, A2 stainless	100	\$4.90
HB-M10-30-88	Hex bolt M10 × 30, grade 8.8, zinc	100	\$27.50	WF-M10-A2	Flat washer M10, A2 stainless	100	\$7.10
HB-M12-40-88	Hex bolt M12 × 40, grade 8.8, zinc	100	\$48.00	WS-M8-SP	Spring washer M8, zinc	100	\$2.60
HB-M12-40-109	Hex bolt M12 × 40, grade 10.9, black	100	\$61.00	WS-M10-SP	Spring washer M10, zinc	100	\$3.30
HB-M16-50-88	Hex bolt M16 × 50, grade 8.8, zinc	50	\$58.00	SC-M6-16-A2	Socket cap screw M6 × 16, A2	100	\$14.20
HN-M6-8	Hex nut M6, class 8, zinc	100	\$3.10	SC-M8-20-A2	Socket cap screw M8 × 20, A2	100	\$23.80
HN-M8-8	Hex nut M8, class 8, zinc	100	\$4.60	SC-M10-25-12.9	Socket cap screw M10 × 25, 12.9	100	\$31.40

HN-M10-8	Hex nut M10, class 8, zinc	100	\$7.90	AN-M10-CS	Concrete sleeve anchor M10 × 80	50	\$42.00
HN-M12-8	Hex nut M12, class 8, zinc	100	\$12.40	AN-M12-WB	Wedge anchor M12 × 100, zinc	50	\$58.00
NL-M8-A2	Nyloc nut M8, A2 stainless	100	\$9.70	RV-4-10-AL	Blind rivet 4 × 10, aluminium	500	\$18.50
NL-M10-A2	Nyloc nut M10, A2 stainless	100	\$14.90	RV-5-12-SS	Blind rivet 5 × 12, stainless	500	\$47.00
UNC-14-1-G5	Hex bolt 1/4-20 × 1, grade 5	100	\$8.40	PF-1/4-NPT-BR	Pipe fitting 1/4 NPT tee, brass	10	\$21.60
UNC-38-1-G5	Hex bolt 3/8-16 × 1, grade 5	100	\$15.90	PF-1/2-NPT-SS	Pipe fitting 1/2 NPT elbow, 316	10	\$44.80
UNC-12-2-G8	Hex bolt 1/2-13 × 2, grade 8	50	\$39.00	HF-6-JIC-ST	Hydraulic fitting 3/8 JIC, steel	10	\$27.30

Prices are list prices in United States dollars, effective 1 January 2026, before the tier discount in Section 2.5. The full price list of 18,000 lines is on the web portal.

7.10 Manufacturer line card (extract)

Manufacturer	Product group	Stocked in	Authorised distributor
Apex Bearing Corporation	Bearings and housings	Dallas, Houston	Yes
Brightline Pneumatics	Cylinders, valves, FRL	Dallas	Yes
Cascade Hydraulics	Hose, fittings, pumps	Dallas, Houston	Yes
Delta Controls Group	Contactors, relays, sensors	All branches	Yes
Everest Instruments	Pressure and temperature instruments	Dallas	Yes
Frontier Cutting Tools	Drills, end mills, inserts	All branches	Yes
Granite Safety Products	PPE, signage, spill control	All branches	Yes
Harbor Adhesives	Threadlockers, sealants, lubricants	All branches	Yes
Ironclad Fasteners	Metric and imperial fasteners	All branches	Yes
Juniper Material Handling	Casters, hoists, slings	Dallas, Houston	Yes
Keystone Enclosures	Electrical enclosures	Dallas	Yes
Lakeside Power Transmission	Belts, pulleys, couplings, chain	Dallas, Fort Worth	Yes
Meridian-branded	Fabricated brackets, hose assemblies, kits	Dallas	Manufacturer
Northgate Flow	Flow meters and level instruments	Dallas	Yes
Oakridge Abrasives	Grinding and finishing	All branches	Yes
Pinnacle Cable	Control and power cable	Dallas, Houston	Yes

Section 8. Data Protection Notice

This notice explains how the Company handles the information given on a credit application and gathered during the assessment, including personal information about principals, guarantors and contacts.

8.1 What is collected

The particulars on the application form; the responses of trade and bank references; commercial credit bureau reports; public record searches; and correspondence with the applicant. For principals and guarantors, this may include personal credit information where a personal guarantee is required.

8.2 Why it is collected

To decide whether to extend credit and on what terms; to open and administer the account; to collect amounts due; to detect and prevent fraud; to comply with tax, export control and sanctions obligations; and, unless the applicant opts out, to send product and service information.

8.3 Who it is shared with

Credit bureaus, to which the Company also reports the account's payment experience; the Company's bank, insurers, auditors and legal advisers; collection agencies where an account is referred; carriers, to the extent needed for delivery; and any authority to which disclosure is required by law. The Company does not sell customer information.

8.4 Retention

Application and assessment records are kept for seven years after the account closes. Records relating to a declined application are kept for two years. Reference responses are kept only in summary form after the assessment.

8.5 Access and correction

A contact or principal may ask what personal information the Company holds about them and ask for it to be corrected, by writing to the Credit Manager. The Company responds within thirty days. Marketing communications may be stopped at any time by using the unsubscribe link or by writing to the same address.

Section 9. Disputes and Complaints

9.1 Invoice disputes

A customer who disputes an invoice must notify the Credit Department within fourteen days of the invoice date, quoting the invoice number, the item and the reason. The disputed amount is excluded from the overdue calculation while the dispute is open; the undisputed balance remains payable on the normal terms. The Credit Department responds within five working days and, where the dispute is upheld, issues a credit note.

9.2 Returns and shortages

Shortages and visible damage must be noted on the carrier's delivery record and reported within five working days. Returns require a return authorisation number and are subject to Section 6, clause 7. Credit for an accepted return is applied to the account within ten working days of receipt of the goods.

9.3 Service complaints

Complaints about service should be raised first with the account manager, who responds within two working days. Unresolved complaints may be escalated to the Regional Sales Manager and then to the Vice-President of Sales, whose decision is final within the Company.

9.4 Credit decisions

An applicant who disagrees with a credit decision may ask the Credit Manager for a review, providing any additional information not available at the time of the original assessment. The review is completed within ten working days. A refused applicant may reapply after six months.

9.5 Escalation matrix

Issue	First contact	Response	Escalation 1	Escalation 2
Order status or delivery	Customer service	Same day	Branch manager	Regional Sales Manager
Invoice or statement query	Accounts receivable	2 working days	Credit Manager	CFO
Credit hold or limit	Credit analyst	1 working day	Credit Manager	CFO
Product quality or warranty	Customer service	2 working days	Quality Manager	VP Operations
Pricing or contract	Account manager	2 working days	Regional Sales Manager	VP Sales
Data protection	Credit Manager	30 days	CFO	—
Ethics concern	Ethics line	Acknowledged in 5 days	General Counsel	Board audit committee

Section 10. Glossary, Contacts and Document Control

10.1 Glossary

Term	Meaning
Account manager	The Company's sales representative responsible for the customer.
Account type	The classification of the account (Prospect, Customer, Reseller, Partner, Key account) that determines terms and pricing.
Billing address	The address to which invoices and statements are sent.
Bureau report	A commercial credit report obtained from a credit reporting agency.
Credit hold	A state in which new orders are accepted only against payment.
Credit limit	The maximum total of unpaid invoices and open orders permitted on the account.
DUNS number	The nine-digit identifier assigned by Dun and Bradstreet.
Framework agreement	A contract setting prices and terms for call-off orders over a period.
Net 30	Payment due thirty days from the invoice date.
Prospect	An applicant that has not yet placed an order or is trading on prepayment.
Purchase order	The customer's document authorising a purchase, quoted on the invoice when required.
Resale certificate	A state document allowing a reseller to buy without paying sales tax.
Trade reference	A business that has extended credit to the applicant and can report on its payment record.

10.2 Contacts

Function	Contact
Credit Department (applications, limits, references)	credit@meridianindustrial.example; (555) 480-2150
Accounts receivable (invoices, statements, payments)	ar@meridianindustrial.example; (555) 480-2160
Customer service (orders, deliveries, returns)	service@meridianindustrial.example; (555) 480-2100
Data protection	Credit Manager, in writing to the head office address
Vice-President of Sales (escalations)	In writing to the head office address

10.3 Document control

Version	Date	Change	Approved by
1.0	01/03/2020	First issue of the onboarding pack	CFO
1.1	01/09/2021	Pricing tiers and delivery zones added	VP Sales
2.0	01/01/2023	Credit policy rewritten; delegated authorities table	CFO
2.1	01/07/2024	Data protection notice revised; specimen application added	Credit Manager
3.0	01/01/2026	Form FM420083 adopted; industry list aligned with the customer system	CFO

10.4 Remittance details for payments to the Company

Method	Details
ACH or wire	Meridian Industrial Supply Inc., Lone Star Commerce Bank, Dallas; routing 111000999; account 4400 2210 87; reference the customer account number and invoice numbers
Cheque	Payable to Meridian Industrial Supply Inc., to the lockbox: P.O. Box 841200, Dallas, TX 75284-1200
Card	Through the web portal or by telephone to accounts receivable; surcharge applies above \$10,000
Remittance advice	remittance@meridianindustrial.example — one advice per payment listing the invoices paid

The Company will never notify a change of bank details by e-mail alone. Any such notice should be verified by telephone to accounts receivable on the number in the contact directory before payment is redirected.

10.5 Holiday schedule 2026

Date	Holiday	Branches	Deliveries
1 January	New Year's Day	Closed	None
19 January	Martin Luther King Jr. Day	Open	Normal

16 February	Presidents' Day	Open	Normal
3 April	Good Friday	Open until 12:00	Morning only
25 May	Memorial Day	Closed	None
3 July	Independence Day (observed)	Closed	None
7 September	Labor Day	Closed	None
26 November	Thanksgiving Day	Closed	None
27 November	Day after Thanksgiving	Open until 12:00	Morning only
24 December	Christmas Eve	Open until 12:00	Morning only
25 December	Christmas Day	Closed	None
31 December	New Year's Eve	Open until 15:00	Normal

10.6 Welcome letter and statement of account

When an account is opened, the Accounts team issues a welcome letter to the primary contact stating the account number, the credit limit, the payment term, the pricing tier, whether purchase orders are required, the account manager's name and direct line, and the portal registration instructions. The letter is the customer's record of the terms approved and should be kept with the purchasing file.

A statement of account is issued on the first working day of each month to the billing address and by e-mail to the primary contact. It lists every open invoice with its date, purchase order number, amount and due date; payments and credits applied during the month; the closing balance by age band (current, 1–30, 31–60, 61–90, over 90 days); and the credit limit and the available balance. Queries on a statement should be raised with accounts receivable within fourteen days.

This pack is issued to an applicant so that the application, the policy under which it is assessed and the supporting material are kept together. The credit application in Section 4 is the only part completed by the Applicant; all other sections are for reference.

End of pack.

Annex A -- Logistics, Freight and Returns Handbook

Annex A.1 Incoterms as the Company Applies Them

The Company quotes and invoices on one of a small number of Incoterms rules, and the rule stated on the order acknowledgment, not the rule mentioned in an earlier quotation or purchase order, is the one that governs the shipment. Ex Works from the Company's Dallas distribution centre is the default rule for an account without a negotiated freight arrangement; Delivered at Place and Carriage Paid To are used where the Company has agreed to arrange and pay the primary freight, most often for a Gold-tier account or under a standing freight allowance.

Under Ex Works, risk of loss or damage to the goods passes to the account holder when the goods are made available for collection at the distribution centre, whether or not the account holder's own carrier has yet arrived to collect them; the Company retains no obligation to load the carrier's vehicle unless the order acknowledgment says otherwise, and loading is provided as a courtesy where staff and equipment allow. Under Carriage Paid To, the Company arranges and pays the freight to the named destination, but risk still passes when the goods are handed to the first carrier, not on arrival; an account holder that wants risk to pass on arrival should ask for Delivered at Place rather than Carriage Paid To.

Rule	Risk passes	Who arranges freight	Who pays freight
Ex Works (default)	On collection at the distribution centre	Account holder	Account holder
Free Carrier	On handover to the named carrier	Account holder names the carrier; Company loads	Account holder
Carriage Paid To	On handover to the first carrier	Company	Company, to the named destination
Delivered at Place	On arrival at the named destination	Company	Company
Delivered Duty Paid (export shipments only)	On arrival, duty paid	Company	Company, including duty

The rule used for a given account is recorded against the account and applied to every order unless the order itself states a different rule; a change to the rule used for an account is a change to the terms of sale and is agreed with the account manager rather than requested order by order. Freight charged separately from the goods, where the rule requires the account holder to pay it, appears as a separate line on the invoice and is not included in the price used to calculate a volume rebate or a pricing-tier threshold.

Delivered Duty Paid is offered only for shipments outside the customs territory in which the distribution centre is located, and only where the destination country's import requirements have been confirmed with the account holder in advance; it is not offered as a domestic rule, and a request to use it for a domestic shipment is treated as a request for Delivered at Place instead.

Where a shipment moves under a rule that puts responsibility for freight on the account holder and the account holder's nominated carrier fails to collect on the day scheduled, the goods remain the account holder's responsibility from the original collection window even though they are still physically at the distribution centre; storage beyond two working days from the missed collection may be charged at the distribution centre's standard handling rate.

A single order is shipped under one Incoterms rule; where an account holder wants part of an order handled under a different rule, for example a rush portion collected by its own carrier while the remainder moves under the account's standard arrangement, this is treated as two separate orders for shipping purposes even though they may appear together on one purchase order and one invoice.

An account holder that changes its preferred rule for future orders should confirm the change in writing rather than by a note on a single purchase order, since a rule recorded against the account is applied automatically to electronic orders placed through the web portal described in Section 2.8 and a one-off instruction on a single order does not update that default.

Annex A.2 Order Cut-off and Dispatch

An order received and fully released, meaning credit-approved and with stock available, before the cut-off time for its dispatch zone is picked and dispatched the same working day; an order released after the cut-off is dispatched the following working day. The cut-off is measured against the time the order is released, not the time it was placed, so an order held for a credit check or for a purchase-order number is dispatched from the day it clears rather than the day it was entered.

Dispatch zone	Cut-off (local time)	Typical transit
Zone 1 (metro area around the distribution centre)	3:00 p.m.	Same to next working day
Zone 2 (remainder of the home state)	1:00 p.m.	1 to 2 working days
Zone 3 (adjoining states)	12:00 p.m.	2 to 3 working days
Zone 4 (remainder of the continental service area)	11:00 a.m.	3 to 5 working days
Will-call collection	4:30 p.m.	Same working day

A line that is out of stock at the distribution centre nearest the account is sourced from the next nearest location automatically where doing so does not add more than one working day to the transit shown above; where it would add more, the account manager contacts the account holder to offer a partial dispatch of the remaining lines, a wait for the full order, or a substitute part number where one exists.

The cut-off times in the table above are the ones published to the account management team and used for planning; the online order status shown to an account holder reflects the carrier's own scan events once the shipment has left the distribution centre and can lag the physical dispatch by several hours, particularly at the end of a peak shipping day.

A recurring order placed under a standing schedule, for example under the vendor-managed inventory programme described in Section 7.7, follows the replenishment calendar agreed for that programme rather than the general cut-off times in the table above; the two schedules are set independently and a change to one does not automatically change the other.

Annex A.3 Carrier Selection

Where the Company arranges freight, it selects the carrier from its own approved list based on the dispatch zone, the weight and dimensions of the shipment, and any handling the goods require, including the requirements described in Annex A.6 below for hazardous goods and lithium batteries. An account holder does not choose the carrier for a shipment arranged under Carriage Paid To, Delivered at Place or Delivered Duty Paid, although a request for a specific carrier is considered where the account holder has a standing account with that carrier that offers a materially better rate or service.

Where the account holder arranges freight, under Ex Works or Free Carrier, it names the carrier on the order or provides standing routing instructions to the account manager, and it is responsible for booking the collection within the window the distribution centre offers; a carrier that fails to collect within that window may find the goods rescheduled for the next available slot rather than held indefinitely on the dock.

- A collection reference matching the order or a bill of lading number provided in advance.
- Identification of the driver consistent with the carrier named on the order.

- Equipment suitable for the freight class and packaging of the goods being collected.

A carrier substitution made by the Company because an approved carrier has no capacity on a given day does not change the Incoterms rule or the transit expectation in Annex A.2 above; where a substitution is expected to add more than one working day to the transit, the account manager notifies the account holder before the shipment is dispatched rather than after it has already been delayed.

The Company's approved carrier list is reviewed each year against service performance, claims experience and coverage of the zones described in Annex A.2 above; a carrier that is removed from the list during the life of an account does not affect any freight rate already quoted for an order in progress, but does apply to an order placed after the change takes effect.

Annex A.4 Freight Claims for Loss or Damage

A shipment that arrives short, damaged or not at all is a claim against the carrier in the first instance where the account holder arranged the freight, and a claim the Company pursues on the account holder's behalf where the Company arranged the freight; in both cases, the evidence described below needs to be captured close to the time of delivery, since a carrier's own claims process is far less likely to succeed once the exception has not been noted at the time.

Visible damage or a shortage apparent on delivery must be noted on the delivery receipt before the driver leaves, with a description of the damage or the quantity short, and photographed before the packaging is disturbed further than necessary to see the damage; a signature for the delivery without an exception noted is treated by most carriers as acceptance of the shipment as delivered, regardless of what is found later. Concealed damage, not apparent until the packaging is opened, must be reported within the time limit in the table below, and the damaged goods and their packaging kept until the claim is resolved or the carrier inspects them.

Type of exception	Time limit to report	Evidence needed
Visible damage or shortage, noted on delivery	Noted on the delivery receipt at the time	Annotated receipt; photographs
Concealed damage, found after unpacking	5 calendar days from delivery	Photographs; original packaging retained; carrier inspection if requested
Non-delivery of a shipment showing as delivered	10 calendar days from the delivery date shown by the carrier	Signed statement that the goods were not received
Non-delivery of a shipment with no delivery scan	30 calendar days from dispatch	Trace request result from the carrier
Shortage discovered against a multi-carton shipment	5 calendar days from delivery	Carton count and weight compared with the packing list

1. Notify the account manager or customer service with the invoice number, the exception type and the evidence described above.
2. Customer service opens a claim with the carrier where the Company arranged the freight, or confirms the claim reference where the account holder has opened one directly.
3. The carrier's own investigation period applies, typically several weeks for a concealed-damage or non-delivery claim; the Company cannot shorten it.
4. A claim upheld by the carrier is credited to the account or, for goods still needed, replaced and invoiced separately pending the credit.
5. A claim declined by the carrier is reviewed once by the account manager for an alternative resolution before the account holder is asked to absorb the loss.

A claim is pursued against the carrier regardless of whether the goods were insured separately by the account holder for the movement; cargo insurance taken out by the account holder pays out under its

own terms and does not depend on the outcome of the carrier's investigation, although an account holder that recovers under both a carrier claim and its own insurance for the same loss is expected to reconcile the two rather than retain a double recovery.

A claim for a shipment moving under a rule that puts risk on the account holder before the loss occurred, such as Ex Works, is pursued by the account holder directly against its own carrier, and the Company's role is limited to providing the invoice, the packing list and any inspection records the carrier reasonably requests to support that claim.

None of the time limits in this section extend the period within which an invoice dispute must be raised under Section 9.1; a freight claim and an invoice dispute are handled on separate tracks and raising one does not pause the other, so an account holder pursuing a damage claim should still raise any related invoice dispute within its own time limit if it wants both resolved together.

A claim above the value that requires notice to the Company's own insurer under its receivables cover is flagged automatically by customer service, and the account holder may be asked for additional supporting evidence beyond that described in the table above so that the notice to the insurer can be completed; this additional request does not itself indicate any doubt about the claim.

Reference: [as shown on the acknowledgement] Date: [date of issue]

Dear Account Holder,

This will confirm that a freight claim has been opened with the carrier for the shipment referenced on your recent notice of damage or shortage. The claim reference has been recorded against your account, and the carrier's investigation is now underway.

Please retain the damaged goods and their original packaging until the carrier confirms that an inspection is not required, since a claim can be declined where the goods are disposed of before that confirmation is given.

We will update your account manager as soon as the carrier reaches a decision. If the goods are needed urgently, a replacement can be invoiced separately while the claim is pending, to be credited if the claim is upheld.

Yours faithfully,

David Ferris

Logistics Coordinator

Annex A.5 Return Merchandise Authorisation (RMA) Procedure and Restocking

Goods may not be returned to the Company without a return merchandise authorisation issued in advance; goods received without one are held at the distribution centre pending identification and are not credited until an authorisation is retrospectively issued, which delays the credit and is charged the same handling fee as a return authorised in advance. A request for authorisation is made to customer service with the original invoice number, the part number and quantity to be returned, and the reason for the return.

Standard stocked items in resaleable condition, in the original packaging and returned within the period shown below, are accepted subject to the restocking charge in the same table; special order items, cut-to-length goods, kitted assemblies built to the account holder's specification, and any item marked non-returnable on the order acknowledgment are not eligible for return except where the return is the result of the Company's own error, in which case no restocking charge applies.

1. Request authorisation from customer service, giving the invoice number, part number, quantity and reason.
2. Customer service confirms whether the item is eligible and issues an authorisation number if it is.
3. The account holder marks the authorisation number clearly on the outside of the returned package and includes a copy of the original invoice inside it.
4. The distribution centre inspects the returned goods on arrival against the condition described in the request before the credit is issued.
5. A credit is issued to the account, less any applicable restocking charge, once the inspection confirms the goods meet the return condition.

Category	Return window	Restocking charge
Standard stocked item, unopened original packaging	30 calendar days from invoice date	15 percent of invoice price
Standard stocked item, opened but unused and complete	30 calendar days from invoice date	25 percent of invoice price
Item returned for the Company's error (wrong item, wrong quantity, defect)	90 calendar days from invoice date	None
Special order, cut-to-length or built-to-specification item	Not eligible	Not applicable
Calibration or kitting service already performed	Not eligible	Not applicable

An item returned without the manufacturer's original packaging, or missing an accessory, manual or component that was included with the original shipment, is inspected on the same basis as any other return, but the restocking charge in the table above may be increased to reflect the cost of restoring the item to a resaleable condition, and in some cases the item may be accepted only as a partial credit rather than at the full restocking rate.

A return shipped from outside the country of the distribution centre follows the same authorisation procedure described above, but the account holder is responsible for its own export formalities on the return leg, and the restocking charge is calculated on the invoice price before any duty or freight the account holder incurred in the original delivery.

A restocking charge is waived once in a rolling twelve months for an account in good standing, at the discretion of the account manager, for a single return that would otherwise carry a charge; the waiver is not available for a return that is otherwise ineligible under this section, such as a special order or a completed calibration service.

Annex A.6 Hazardous Goods and Lithium Battery Shipping

A number of the products in the Company's range, including adhesives, lubricants, aerosol cleaners and certain calibration reference gases, are regulated as hazardous materials for transport and are shipped only with the packaging, labelling and documentation the applicable transport regulation requires; an account holder that consolidates such an item with other freight under its own arrangement is responsible for that shipment's compliance with the same regulation from the point the goods leave the distribution centre.

Equipment supplied with an installed lithium battery, and a battery supplied as a spare or replacement, is shipped according to the state of charge, the watt-hour rating and the mode of transport the carrier will use; a battery above the threshold that requires a full hazardous-goods declaration is shipped only by a service that accepts that declaration, which can mean a longer transit time or a different carrier than the one used for the rest of an order.

A request to expedite or to use a service the standard hazardous-goods routing does not support is referred to the compliance function rather than handled by customer service directly, since substituting a faster service for a regulated shipment without checking that the service accepts the declaration is the

most common cause of a shipment being refused by the carrier after it has already left the distribution centre.

Safety data sheets for hazardous items are provided with the shipment and are also available from customer service in advance of ordering so that the account holder's own receiving staff can plan for the storage and handling the item requires; a request for a safety data sheet does not require an open order and is answered the same working day.

A customer-supplied item sent to the Company for a calibration or repair service that is itself a regulated hazardous item, such as an instrument containing a mercury reference cell or a sealed radioactive source used for calibration checks, must be declared to customer service before it is shipped to the Company, since the inbound movement is subject to the same transport regulation as an outbound shipment of the same item.

A shipment containing more than one item subject to a separate hazardous-goods classification is documented and packaged so that each classification is identifiable on inspection; consolidating differently classified items into a single unlabelled container to reduce the number of declarations is not a step the Company's staff are permitted to take on an account holder's behalf, even where the account holder requests it to simplify paperwork.

An account holder that regularly receives hazardous goods or lithium battery shipments is encouraged to confirm that its own receiving staff have had basic training in recognising the hazard labelling used on the packaging, since a shipment refused at the account holder's own dock for lack of recognised paperwork is returned to the distribution centre at the account holder's cost in the same way as a refused ordinary delivery.

Hazardous goods and lithium battery shipments cannot be arranged for will-call collection by a courier that has not confirmed in advance that it will accept the declaration.

